Do NGO campaigns hurt bank shares?

2,631 NGO campaigns against US and European banks, 2010 to 2018, after Krüger (2015)

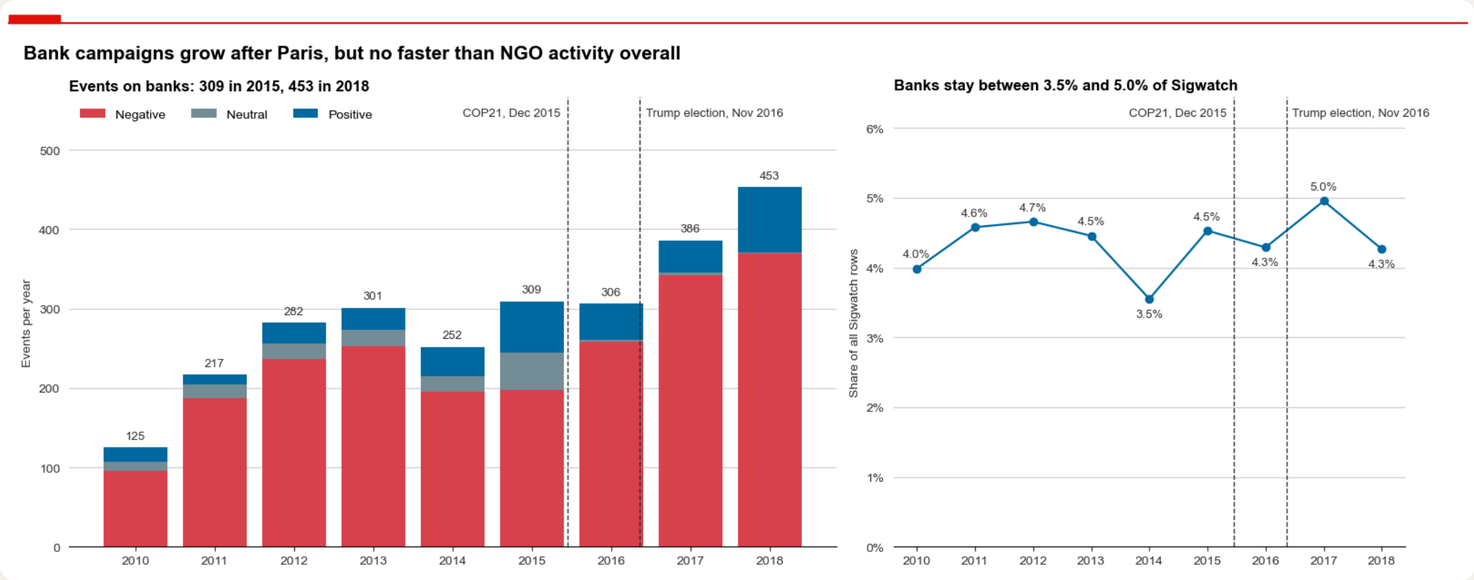
1. Campaigns
2,631 events on 64 banks

2. Prices
126 banks, in US dollars

3. Normal return
per bank, before each event

4. Surprise
actual minus normal, over 21 days

5. Tests
bad news against good news



The data

Campaigns against banks grew from 125 in 2010 to 453 in 2018.

Four in five are negative, so we have plenty of bad news to test.

Tasks done: Day 1, Day 2, Tasks 4, 5, 6 - optional Tasks 3 and 7 - Group 4 -1 / 4

How we measured a reaction

Normal behaviour
250 trading days, ending 50 days before the event

Gap
49 days, unused

Event window
10 days before to 10 days after

Time runs left to right. The surprise is what the bank earned in the event window beyond its normal behaviour.

One yardstick

All prices converted to US dollars, holidays found and removed, data errors dropped.

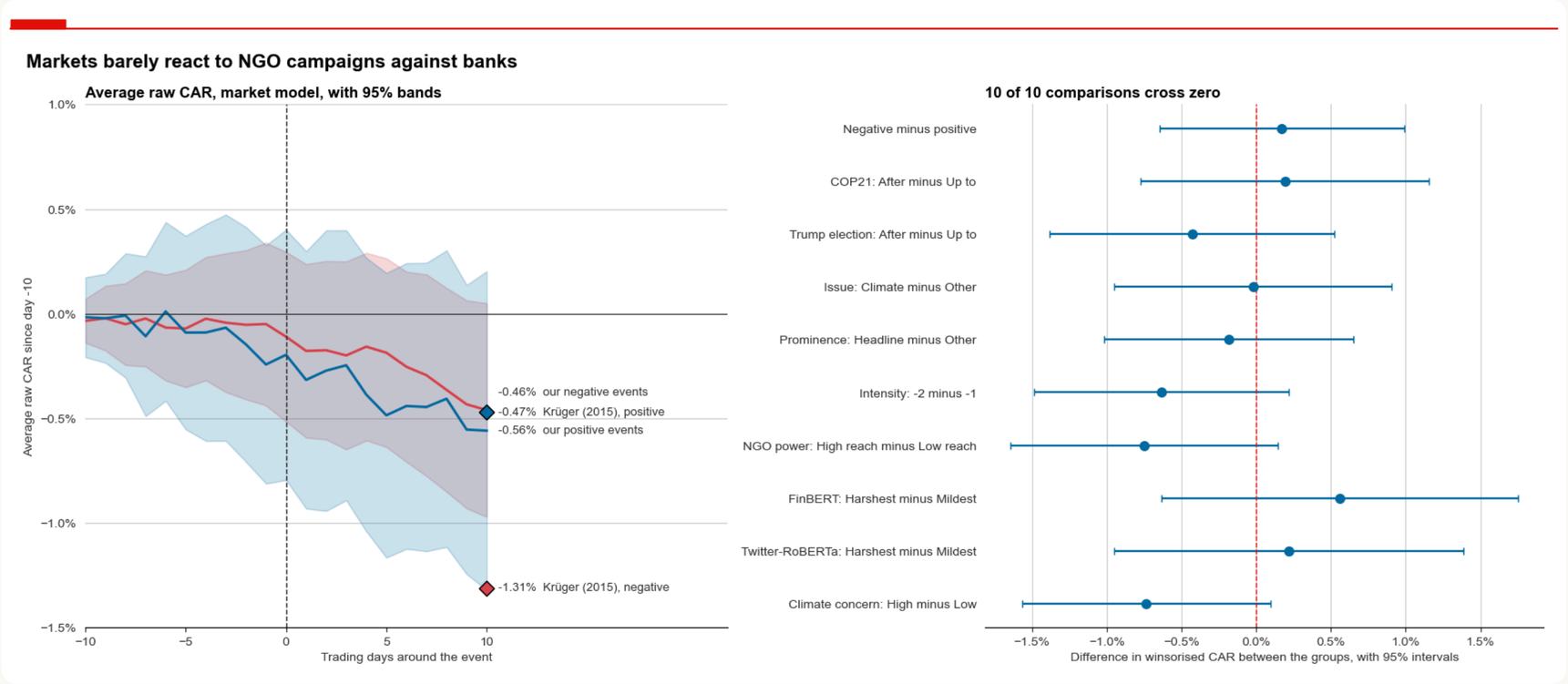
No peeking

Normal behaviour is fixed before the event, so the news can't leak in. A built in check proves it 120 times.

A fair comparison

Bank shares drift down a little around every event. So the clean test compares bad news with good news.

Markets barely react to NGO campaigns against banks



−0.46%

after bad news, a third of Krüger's −1.31%

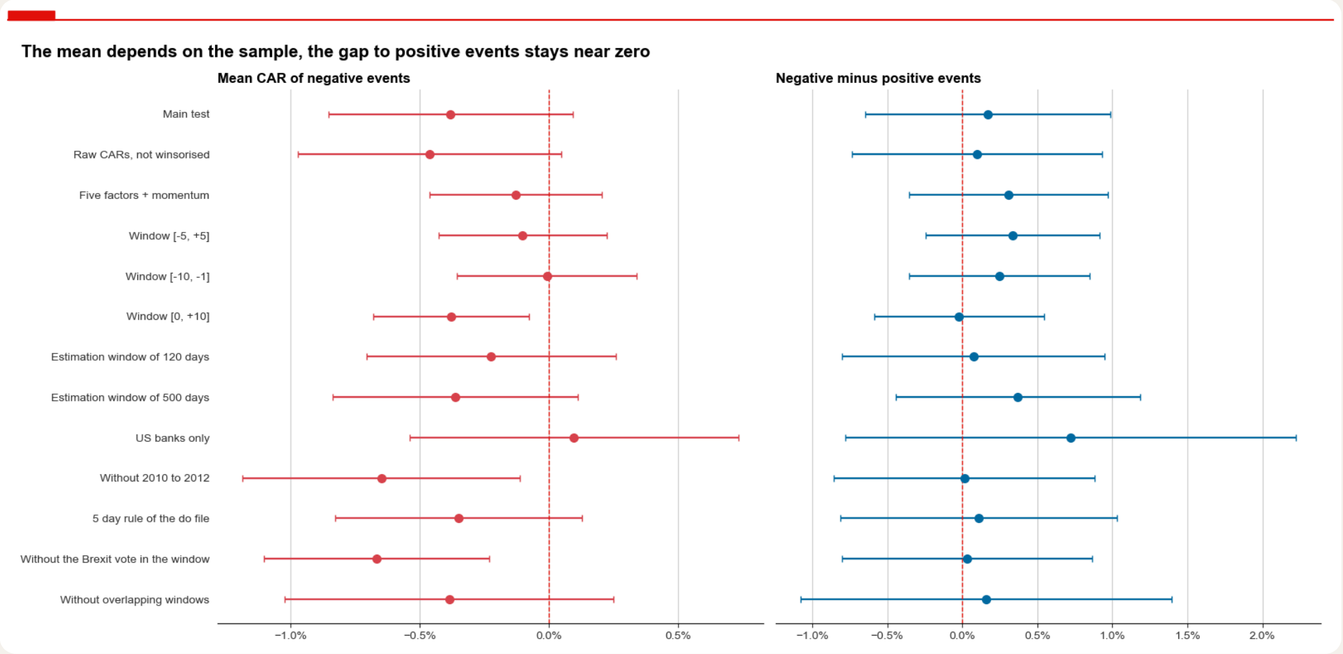
−0.56%

after good news: the same fall

0 of 10

splits show a real difference

How sure we are, and what we would do next



Right panel: in all 12 checks the gap to good news stays near zero.

Side findings

Language models barely agree with Sigwatch's labels (Task 3).

Banks in climate concerned countries may react more, but only six countries (Task 7).

With more time

Remove events with other company news (Factiva).

Check press and social media coverage (Tasks 1 and 2).

Read the full NGO web pages.